

The effect of trust on customer contact personnel strategic behavior and sales performance in a service environment

James M. Pappas^{*}, Karen E. Flaherty

Spears School of Business, Oklahoma State University, Stillwater, OK 74078, United States

Received 13 February 2006; accepted 17 September 2007

Abstract

The involvement of customer contact personnel in the strategy process is a largely unexplored area in both marketing and strategic management. Based on social exchange theory, and in particular, the notion of trust within this context, we examine the nature and extent of strategy participation exhibited by customer contact personnel. Exploring dyadic relationships we found that the extent to which contact personnel trust their supervisors positively influence their willingness to participate in strategic activities. Furthermore, we found that communication and information sharing moderate the relationship between trust and strategic activities. Thus, the more contact personnel are involved in the strategic process, the more likely supervisors are to rate the contact person's selling performance as high.

© 2007 Elsevier Inc. All rights reserved.

Keywords: Trust; Communication; Management control systems; Strategic behaviors

The influence customer contact personnel have on the strategy process within the firm remains neither well documented nor well understood. While marketing researchers acknowledge the importance of customer contact employees (e.g., customer service personnel, salespeople), a predominance of the research has focused on a top–down, rather than a bottom–up, approach toward understanding the contributions of these employees. Put differently, research has focused on the *dissemination* of strategy from top managers to customer contact personnel (Hartline et al., 2000). In this paper, we consider the customer contact person as a strategic entity. Given their link between internal and external constituents, contact personnel act as service experts. They also transfer information between the two parties, potentially influencing strategy making.

As boundary spanners, customer contact personnel provide an important link between the organization and its customers and provide a potentially valuable source of strategic information to managers. These employees have access to information regarding

evolving customer needs and possible product or service improvements (Bettencourt and Brown, 2003). Furthermore, frontline sales, operations, and service personnel often have the best vantage point to make quicker and better strategic decisions (Day, 1994). They represent the organization externally, and may influence the organization internally through their communications (Bettencourt and Brown, 2003). Understanding the nature and extent to which customer contact employees are actually involved in the strategy process, as well as the mechanisms allowing for this process, are becoming imperative.

To explore how customer contact personnel participate in the strategy process, we used social exchange theory to examine dyadic relationships between the supervisor and the salesperson. Social exchange theory has been a central within the organization sciences literature as a framework toward predicting loyalty to an employee's superior, compliance to supervisory demands, and reduced conflict between levels (Marcus and House, 1973). According to Blau (1964), social exchange theory is based on the concept of negotiated exchanges between two parties in which people form subjective cost–benefit analyses and the comparison of alternatives. Said differently, if one partner helps, or in any way benefits, the other there is likely to be an expectation that the party

^{*} Corresponding author.

E-mail address: james.pappas@okstate.edu (J.M. Pappas).

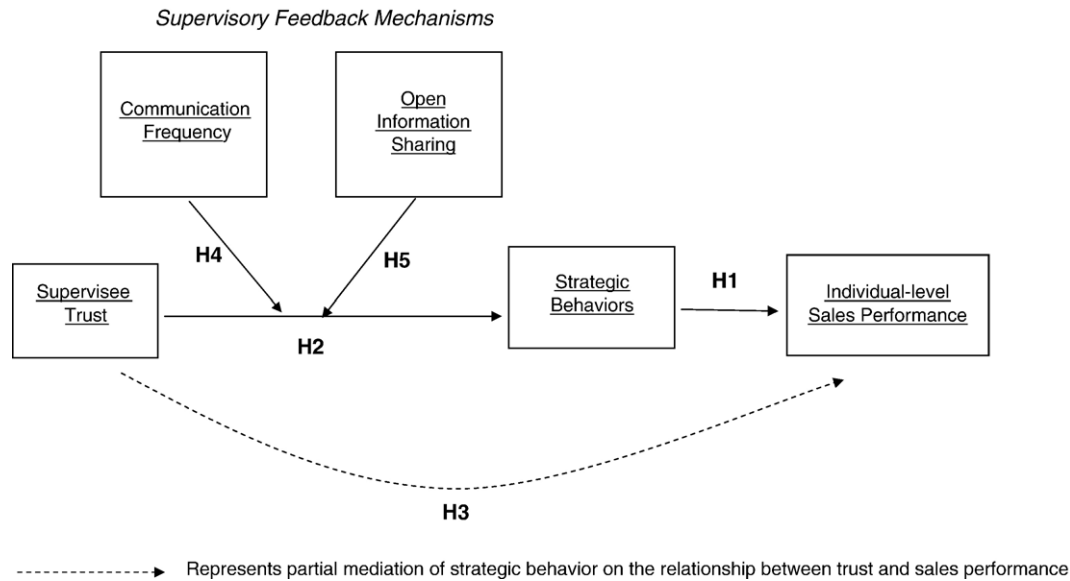


Fig. 1. An exchange model of autonomous strategic behavior at the functional-level.

that benefited will reciprocate. However, the exact nature and timing of the reciprocation is not always clear (Gouldner, 1960). Past research indicates that employees tend to view social exchanges with a long-term view and do not evaluate exchanges individually (Blau, 1964). Over a period of time the pattern of reciprocity will achieve balance between parties (Rousseau, 1998).

Customer contact personnel who trust their supervisors are more likely to have an influence in the organization because they will engage in more fruitful dyadic interactions with supervisors (Sparrowe and Liden, 2005). Social interactions are integral to the process of knowledge generation and strategic development (Floyd and Lane, 2000). A trusting relationship is of utmost importance to a wide variety of exchange relationships (Morgan and Hunt, 1994; Rich, 1997). Salespeople receive perceived benefits from a trusting relationship and, based on social exchange theory, they will feel obligated to repay the organization by offering benefits (such as participation in strategic activity) to the organization. When salespeople participate in strategic activities that benefit the organization, it is likely that over time supervisor-ratings of the salesperson's performance will increase (Floyd and Wooldridge, 1992; Dutton et al., 2001). In essence, research has suggests that more involved employees end up with an improved sense of customer needs and as a result are more successful. Thus, to the extent that salespeople participate in the strategy process, we expect that supervisors' reports of their selling performance will increase.

Research generally suggests that communication is critical to effective strategy implementation (Jaworski, 1988). In fact, trust, communication, and open information sharing between two parties all have the potential to create relational value (Moorman et al., 1992). Behaviors that are perceived to be risky, such as delegating or information sharing, are said to influence the nature of reciprocal trust existing between the leader and the

follower (Lester and Brower, 2003). Thus, in our study, we also explore the extent to which communication variables (i.e., communication frequency and information sharing) moderate the relationship between trust and the strategic activities.

The purpose of this study was to (1) examine the strategic activities of the employees as a potential mediator of the relationship between supervisee trust and increases in supervisor-ratings of individual sales performance, (2) consider how and when customer contact employees will participate in strategic activity, and (3) determine if salesperson strategic activity mediates the relationship between a salesperson's trust in the supervisor and the salesperson's selling performance. Further, we identify two communication-related constructs (frequency of communication between the salesperson and the supervisor and the extent of open information sharing between the salesperson and the supervisor) as key moderators of the relationship between supervisee trust and salesperson participation in strategic activity.

In summary, by exploring the interplay between trust, communication, strategic activities, and individual-level sales performance (Fig. 1), the paper complements the existing work concerning strategic roles and activities that to date has focused on upper and middle-level managers (Floyd and Wooldridge, 1992) by considering how and when employees that do not occupy formal positions of authority but do serve as important boundary spanners participate in these activities. Further, the study extends existing research on trust (Rich, 1997; Atuahene-Gima and Li, 2002) by considering strategic activity as a potential mediator of the trust–performance relationship.

1. Strategic roles at the functional-level

The management literature on strategic process provides a long list of specific roles played by each management level and

have integrated these roles into various models (Floyd and Lane, 2000). Floyd and Wooldridge (2000) suggest that strategic activity includes behaviors such as championing new ideas and initiatives, synthesizing strategic information, facilitating strategic initiatives, and integrating strategic information. In accordance with a customer-focused approach, research has shown that the management of workplace conditions requires a focus on customer linkage (Paulin et al., 2006). As boundary spanning employees, salespeople often are required to negotiate, interpret, and explain customer information to company representatives and company information to customers. In essence, they link the organization to its customers in ways similar to middle managers who perform boundary spanning roles involving management, suppliers, and customers (Floyd and Wooldridge, 1992).

In a middle-management context, exposure to the demands of external constituents, including customers, has been shown to promote recognition of the potential value of divergent strategic initiatives (Floyd and Wooldridge, 1992). Salespeople often have access to divergent information coming from important customer groups, and as boundary spanners they too are likely to perceive its value to the firm. With access to such information, salespeople—as “mid-level professionals” (Floyd and Wooldridge, 2000)—have the ability to impact strategic thought throughout the firm. Because they are exposed to diverse information, we assert that salespeople are in a good position to champion new initiatives, and synthesize new and ambiguous knowledge keeping a customer’s perspective in mind. They provide a likely source of new ideas coming from the outside, and as a result, nurture and experiment with these ideas as well.

2. Influence of strategic activity on sales performance

We define sales performance as the salesperson’s achievement of quantity and quality sales objectives. This definition is consistent with past research evaluating performance in a sales domain (Sujan et al., 1994) and generally reflects the traditional outcome performance construct as discussed by Anderson and Oliver (1987). In this paper, we were most concerned with collecting supervisors’ subjective assessments of the salesperson’s performance.

Theoretically, participation in strategic activity is likely to lead to enhanced sales performance. Based on exchange theory (Blau, 1964), perceptions of salesperson performance may be conceptualized as returns provided to subordinates from the supervisor as well as an investment made by subordinates to the supervisors (e.g., the salesperson makes an investment by working at a high level, and the supervisor provides the return of positive perceptions of the salesperson’s performance). The investments and returns of supervisors and subordinates must balance out over time (Dansereau et al., 1984). Participation in autonomous strategic behaviors is a specific investment made by the salesperson. The salesperson is engaged in activities that benefit the supervisor and the organization. According to exchange theory and in particular the norm of reciprocity, we expect that the supervisor will return the favor with positive perceptions of the salesperson’s behavior.

Furthermore, the salesperson’s involvement in strategic activity has been shown to lead to enhanced individual outcomes. When the salesperson participates in the “strategic conversation” of the firm such as suggesting new ideas or encouraging peers to implement a new strategic initiative, they will benefit from strategic consensus, improved implementation of strategy, and ultimately improved performance (Floyd and Wooldridge, 1992). Top managers have also begun to point out the performance-related benefits of employee participation in strategy. Dutton et al. (2001) report that when employees are inspired to make decisions they often become star performers. More involved employees end up with an improved sense of customer needs and as a result are more successful. Thus, to the extent that salespeople participate in the strategy process, we expect that supervisors’ reports of their selling performance will increase.

H1. Salesperson participation in strategic activities is positively associated with individual-level sales performance as perceived by the supervisor.

3. Influence of trust on strategic activity

The concept of trust has received considerable attention within management and marketing fields. It has been defined in multiple ways (e.g., Atuahene-Gima and Li, 2002; Mayer et al., 1995; Doney and Cannon, 1997). However, we define trust as the extent to which the salesperson believes the supervisor to be honest and benevolent (Doney and Cannon, 1997). Because recent studies have reported conflicting findings on the connection between trust and performance (Atuahene-Gima and Li, 2002; Dirks, 1999; Rich, 1997), researchers have called for more comprehensive studies of the link between trust and performance (Moorman et al., 1992). In this paper, we build on Floyd and Wooldridge’s (2000) argument that trust is a critical element within the strategic renewal domain and greatly impacts managers’ strategic activity as they pertain to performance.

Trust is a necessary condition for successful interactions between salespeople and supervisors (Rich, 1997), and has been shown to be a vital construct within a social exchange theory framework (Graen and Uhl-Bien, 1995). The social exchange process is governed based on social obligations (Blau, 1964), in that trust creates obligations between two parties (Lambe et al., 2001). Put differently, salespeople receive perceived benefits from a trusting relationship with the supervisor and will repay the supervisor in some manner. When employees perceive that their organization provides positive (i.e., trust-based) supervision, they then feel obligated to devote time and energy to beneficial organizational activities (Schneider and Bowen, 1995). Further still, individuals engaged in an environment of high mutual trust are not concerned about balancing social exchange transactions as much as individuals in a low trust environment who often seek reciprocity or equivalence (Sparrowe and Liden, 2005).

Furthermore, social exchange theory suggests that trust creates an environment wherein the salesperson is at ease raising issues with the supervisor. Trust in others leads to an

atmosphere where the individual is more willing to express ideas, thoughts, and concerns about what is being done (Sonnenberg, 1994). Salespeople are more likely to explore and participate in risky behavior when they feel safe and supported by the authority figure (Nelson and Quick, 1991). This implies that in a trusting atmosphere salespeople will be more tolerant of the risk associated with championing, synthesizing, facilitating, and implementing behaviors associated with the strategy process that goes beyond the salesperson's traditional role. For instance, a salesperson might recognize the potential of a new initiative and subsequently approach the supervisor and act as a champion for the new idea. Despite the salesperson's belief that the initiative has potential, some level of risk is still involved. The initiative may not be accepted; it may ultimately result in failure. For a salesperson to take on additional and unnecessary risk, the comfortable and supporting atmosphere dictated by a trusting relationship is critical. Thus, we contend that supervisee trust is positively related to strategic activity.

H2. Supervisee trust is positively associated with salespeople's participation in strategic activities.

4. Mediating role of strategic activity

We propose that strategic activities mediate the relationship between trust and sales performance. The impact of trust on individual performance has been shown in many empirical studies, though trust's effect on group-level performance has received only partial support (Dirks, 1999). In the past, trust has been shown to influence organizational outcomes through certain behaviors such as the delegation of authority (Mayer et al., 1995). In this vein, we posit that the strategic behaviors will have a similar effect on individual outcomes. Research suggests that when employees are encouraged to suggest new ideas or initiatives, projects have a higher likelihood of implementation (Floyd and Wooldridge, 1992). More involved employees become more engaged with the customer and, as a result, are more successful. (Dutton et al., 2001). In sum, we argue that through greater participation in strategic activities that trust influences sales performance. To the extent that supervisee trust results in the salesperson accepting greater risk and showing more initiative, said trust is likely to have a positive impact on the salesperson's performance. We expect that trust is associated with performance through the behaviors and activities that it promotes. Therefore,

H3. When controlling for strategic activities, the direct effect of supervisee trust on individual-level sales performance will be diminished.

5. Moderating effect of communication

Communication is critical to producing effective coordination between two parties (Mohr et al., 1996). In the supervisor–employee dyad, communication is considered one of the most powerful supervisory behaviors, commonly cited as the primary

means of information transfer within the firm and as an important tool used to influence behaviors of others (Johlke and Duhan, 2001). We examine the influence of two components of communication on the relationship between trust and strategic activities. In particular, we consider communication frequency and open information sharing. Communication frequency has been found to be critically important in a number of exchange relationships (Mohr et al., 1996).

Communication frequency refers to the extent and duration of contact between two parties. Past research suggests that in and of itself communication frequency is positively related to a host of job outcomes (Behrman and Perreault, 1984). For one, frequent communication with supervisors has been shown to reduce uncertainty of salespeople (Johlke and Duhan, 2001). This reduction in uncertainty is critical in determining the outcomes of supervisee trust (Becerra and Gupta, 2003). Furthermore, free-flowing internal communications along with a supportive managerial culture have been found to enhance the creation of new business products and opportunities within an organization (Eesley and Longenecker, 2006).

According to principles of social exchange theory, individuals will form exchange relationships and maintain exchange relationships in order to reap either economic and/or social rewards (Blau, 1964). To the extent that the exchange relationship results in rewards over time, both trust and social obligations to the exchange partner develop. Relational exchange norms (either explicit or tacit) provide the guidelines or rules for the expected behaviors of each party (Blau 1964). We argue that consistent, frequent communication will serve to strengthen the effect of supervisee trust on the salesperson's desire to reciprocate by participating in strategic activities that are helpful to the supervisor and the organization. With frequent communications, it is more likely that the supervisee trust will play a role in determining extent of participation in strategic activities as well. Thus,

H4. The frequency of communication between the supervisee and the salesperson, the stronger the relationship between supervisee trust and salesperson strategic activity will be.

Open information sharing has also been shown to be valuable to strong exchange relationships (Cannon and Homburg, 2001). Given that supervisors are a source of feedback for employees it follows that if dialogue between the supervisor and the employee is restricted, open sharing of information cannot exist. The positive result of a high trust relationship on salesperson participation in strategic activity may not be realized to its fullest extent (Kacmar et al., 2003). We suggest that when the supervisor openly shares information, the salesperson acquires the strategic knowledge that is necessary for future participation in strategic efforts. Without this basic strategic knowledge, the salesperson will be unable to recognize opportunities, never mind act as an effective champion of strategic initiatives. We expect that the extent to which a supervisor openly shares information about the future (i.e., discusses strategic issues and shares sensitive information) with the salesperson moderates the relationship between trust and strategic activity. Open sharing of information is

likely to strengthen the relationship between trust and strategic activity. Thus,

H5. The higher the open information sharing between the supervisee and the salesperson, the stronger the relationship between supervisee trust and salesperson strategic activity will be.

6. Research methods

6.1. Sample

Given our focus on the interpersonal relationships existing between customer contact employees and their immediate supervisors, it was necessary to capture certain elements of the exchange from the perspective of the supervisor as well as the customer contact employee. Taking a dyadic approach enables us to make a contribution above and beyond that of prior research that has studied interpersonal relationships between employees and their supervisors using single informant data. We obtained data from sales organizations operating in the healthcare sector. Salespeople operating within this sector tend to be educated professionals, and as a result present a likely category to study potential strategic participation.

6.2. Data collection

Contact information for the organizations was obtained from a national (US) list purchased from a list broker. A random sample of the firms was contacted via initial telephone calls (Dillman, 1978). In the phone conversations, we introduced the study to the sales managers, determined whether or not participation was feasible (i.e., to eliminate some instances of firms that did not employ salespeople), and generated support from the sales managers. Subsequently, sales managers of interested firms were mailed a packet with the following materials:

- (1) *Cover letter.* The cover letter included detailed instructions regarding the completion of the questionnaire. Supervisors were asked to distribute salesperson questionnaires to the three selected salespeople. Supervisors were encouraged to choose a top performer, moderate performer, and lower performer to ensure that not only the best sales representatives were included. Also, supervisors were asked to complete the supervisor questionnaire. All questionnaires were to be returned separately.
- (2) *Supervisor questionnaire.* The supervisor questionnaire included measures of the firm's market turbulence, product complexity, firm performance, and management style (empowerment). In addition, supervisors evaluated the strategic activities for each salesperson. These rankings were matched with the responses from the corresponding salesperson.
- (3) *Three salesperson questionnaires.* The salesperson questionnaire included measures of supervisee trust, information sharing, frequency of communication, as well as a host of demographic and background information.

Of 450 firms initially expressing interest and pre-qualifying for participation via phone calls, 132 dyads were received from the first wave of data collection and 25 were received from the second wave resulting in a total of 157 matched dyads representing 67 distinct firms (or managers). In many instances, two or three 'salesperson' questionnaires were returned per each 'manager' questionnaire. To ensure that the nestedness of our data is not resulting in a greater probability of committing a type 1 error (Hox, 2002), we calculated the design effect according to the procedure recommended by Hox (2002). This resulted in a design effect of 0.7. Design effects less than 2 do not influence tests of significance Hox (2002); therefore, suggesting that we are able to analyze our data accordingly. Given the possibility of a total of 1350 possible dyads that we may have received, we calculate a response rate of approximately 12%. While the 12% response rate is generally lower than other published studies, it is to be expected given our focus on collecting dyadic data. Our sample was comprised of a majority of males (58%) who typically held bachelor's degrees (75%). The average age within our sample was 37 and the average total income was \$93,000 USD.

We tested for nonresponse bias in a manner consistent with procedures outlined by Armstrong and Overton (1977). We compared responses from the first wave against those from the second wave. No significant differences were determined for the variables in the study. Additionally, comparisons across respondents and nonrespondents on dimensions of firm size indicated no significant differences.

6.3. Measures

Preexisting measures were used for all constructs. Where necessary the measures were adapted slightly in wording to fit the context of the current study. Of the measures completed by the salespeople, most were 7-point Likert-type multi-item scales. Trust was measured using Doney and Cannon's (1997) eight-item measure of trust ($\alpha=0.87$, average variance extracted=0.69). Measures for amount of information sharing ($\alpha=0.89$, average variance extracted=0.58) and frequency of communication ($\alpha=0.78$, average variance extracted=0.52) were adapted from Cannon and Homburg (2001).

Supervisors completed multi-item measures of market turbulence and firm performance ($\alpha=0.90$, average variance extracted=0.65) adapted from Slater and Olson (2000) and Babakus et al. (1996). Supervisors also reported on salesperson performance using the Sujan et al. (1994) six-item measure and salesperson participation in strategic activities using the Floyd and Wooldridge (1992) twenty-item measure. We adopt Floyd and Wooldridge's (1992, 2000) conceptualization that middle managers engage in four primary activities: championing new ideas, synthesizing information, facilitating adaptability, and implementing. We conceptualize strategic activity as a higher order construct including the four first order constructs described by Floyd and Wooldridge (2000). Strategic activities were assessed using five-point Likert-type scales (synthesizing $\alpha=0.89$, average variance extracted=0.52; implementing $\alpha=0.89$, average variance extracted=0.60; championing $\alpha=0.88$,

Table 1
Variable means, standard deviations, and intercorrelations

Variables	ST	CF	IS	SA	IP	LR	EXP	EMP	MT	PC
Supervisee trust (ST)	—									
Communication freq. (CF)	0.44**	—								
Information sharing (IS)	0.61**	0.45**	—							
Strategic activities (SA)	0.42**	0.49**	0.42**	—						
Individual performance (IP)	0.39**	0.56**	0.53**	0.67**	—					
Length of relationship (LR)	0.19*	0.23**	0.19*	0.13	0.14	—				
Sales experience (EXP)	0.23**	0.07	0.26**	0.11	0.10	0.33**	—			
Empowerment (EMP)	0.18*	−0.06	0.07	0.09	0.06	−0.01	0.23**	—		
Market turbulence (MT)	0.17	0.02	−0.04	0.06	0.21**	0.11	0.07	−0.02	—	
Product complexity (PC)	0.09	0.01	0.05	0.18*	0.13	−0.09	0.19*	0.35**	0.01	—
Mean	5.23	5.38	4.54	3.15	3.52	46.95	2.79	5.36	4.65	4.36
Standard deviation	0.93	1.20	1.51	0.88	0.87	41.04	1.54	0.83	1.36	1.04

**Correlation is significant at the 0.01 level (2-tailed).

*Correlation is significant at the 0.05 level (2-tailed).

average variance extracted=0.51; facilitating $\alpha=0.77$, average variance extracted=0.52). All measures have been used in previous studies and have been found to be reliable and valid.

To further verify the psychometric properties of the measures, we used confirmatory factor analysis (CFA). Given the large number of measures, we estimated two submodels. This approach is consistent with past research (Doney and Cannon 1997). The first model included individual performance as well as the four strategic activities (Model Fit Indices — $\chi^2=171.13$, GFI=0.89, RMSEA=0.06, CFI=0.91). The second model included trust, communication frequency, and the amount of information sharing (Model Fit Indices — $\chi^2=182.63$, GFI=0.89, RMSEA=0.05,

CFI=0.90). Fit indices indicate adequate fit for all models. Also, Cronbach's alpha and average variance extracted for each construct also meet or exceed minimally acceptable standards.

6.4. Control variables

Throughout our analyses we introduced several variables for control purposes such as product complexity, market turbulence, sales experience, and length of relationship between the supervisor and subordinate. We also controlled for the supervisor's self-reported management, or empowerment, style. Empowerment, defined as a set of practices implemented by key managers involving the delegation of responsibilities to their employees in such a manner designed to enhance the increased decision-making authority of the salespeople (Leach et al., 2003). Thus, salespeople that are "empowered" via a particular set of practices will be given greater opportunity for self-management, increased participation, and more authority regarding decisions that involve job tasks (Leach et al., 2003). As a result, it is critical to control for this effect to isolate the relationship between the constructs of interest. We used the Hartline and Ferrel (1996) eight-item measure of empowerment to assess individual management style. Finally, we collected data on age, sex, education, sales experience, income, length of time working with current supervisor, and self-efficacy.

7. Analyses and results

Summary statistics and intercorrelations for the variables are provided in Table 1. The tests of the remaining hypotheses shed some light on the role trust plays in determining the extent of the activity, as well as the result of such activity in terms of supervisor reports of sales performance.

In H1, we used regression analysis to determine if salesperson participation in strategic activities is positively associated with individual-level sales performance (Table 2). Results support the expected positive association between strategic activity and supervisor-rated performance ($\beta=0.67$, $p<0.01$). The adjusted R^2 for this equation was 0.45. We also used regression

Table 2
Moderated regression analysis: the effect of trust on strategic activities

	Strategic activities			
	Model 1		Model 2	
	β	t-value	β	t-value
<i>Independent variables</i>				
Supervisee trust	0.42	3.88*	0.38	2.88*
Communication freq.	0.39	4.19*	0.37	3.99*
Information sharing	0.00	0.03	0.11	1.53
<i>Interactions</i>				
Supervisee trust				
× Comm. freq.			0.47	5.10*
× Info sharing			0.31	3.04*
<i>Control variables</i>				
Length of relationship	0.12	1.42	0.09	0.97
Sales experience	−0.04	−0.45	0.06	−0.01
Empowerment	−0.04	−0.43	−0.04	−0.44
Market turbulence	0.09	1.25	0.08	0.99
Product complexity	0.19	2.14^	0.16	1.73^
R^2	0.41		0.48	
Adjusted R^2	0.35		0.42	
F-value	7.2*		8.8*	
Incremental R^2 F-value			4.1*	

* $p<0.01$ (two-tailed).

^ $p<0.05$ (two-tailed).

analysis to test H2 to determine if supervisee trust is positively associated with salespeople's participation in strategic activities. Results also support the expected positive association between supervisee trust and strategic activity ($\beta=0.42$, $p<0.01$). Thus, H1 and H2 were both supported.

7.1. Mediating effect of strategic activities

In H3 we tested if strategic activities mediate the relationship between supervisee trust and individual-level sales performance. Here we followed procedures outlined by Baron and Kenny (1986). To rule out the possibility of spurious relationships resulting from multicollinearity, we ran a regression of the dependent variable on the mediating variable alone. If the coefficient for the mediating variable is significant, then the possibility of significance due to a spurious relationship in the third regression is unlikely (Noble et al., 2002). In the first equations, again, we find trust to be significantly related to strategic activity ($\beta=0.42$, $p<0.01$). Further, in equation 2, trust is significantly related to individual sales performance ($\beta=0.39$, $p<0.01$). In equation 3 we hypothesized that the effect of supervisee trust on performance would be insignificant in the presence of the strategic activities. Results show that the beta coefficient for supervisee trust decreased to a marginal-level of significance ($\beta=0.08$, $p<0.10$). Thus, we support H3.

7.2. Moderating effects of communication mechanisms

In H4 and H5, we tested for the moderating effect of communication mechanisms on the relationship between supervisee trust and salesperson strategic activity (see Fig. 1). To do this, we used hierarchical moderated regression analysis (Aiken and West, 1991). We estimated an initial regression equation including supervisee trust along with communication frequency, information sharing, as well as the control variables. In the second model, the hypothesized interactions were added. Prior to doing so, the constituent variables were mean-centered to eliminate multicollinearity (Aiken and West, 1991). Variance inflation factors were below the cutoff of 10, ranging from 1.9 to 3.7, thus suggesting that multicollinearity was not a problem.

We found support for the interaction effect of communication frequency and open sharing of information on the trust–strategic activity relationship (see Figs. 2 and 3 for simple slope

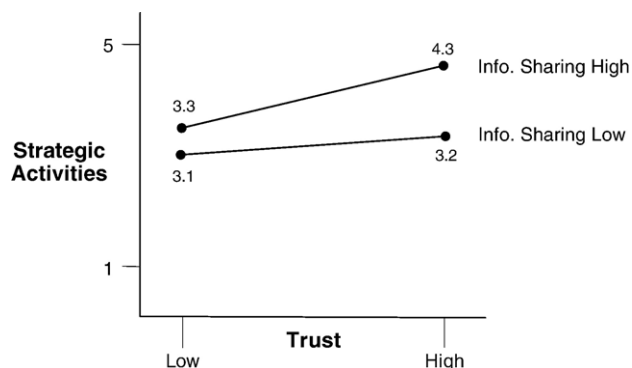


Fig. 2. Simple slope of trust × open information sharing.

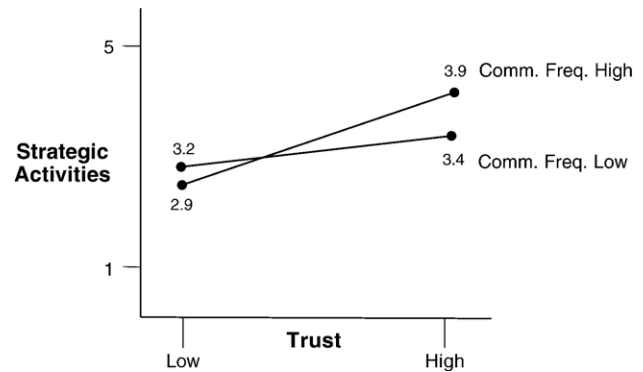


Fig. 3. Simple slope of trust × communicating frequency.

analysis). We hypothesized that these elements of good communication would in fact enhance the relationship between trust and the strategic activities. The trust × communication frequency interaction is positive and statistically significant ($\beta=0.47$, $p<0.01$). In addition the interaction between trust and information sharing is positive and significant ($\beta=0.31$, $p<0.01$). Thus, we support H4 and H5.

8. Discussion

This study integrated insights from the strategy process, social exchange, and marketing literatures, to provide a deeper understanding of the influence of salespeople in the strategy process. In doing so, we identify strategy behavior of the salesperson as a vital intervening mechanism through which trust in the supervisor ultimately influences contact person's sales performance. Further, we demonstrate the moderating effects of two communication variables (i.e., communication frequency and open information sharing) on the relationship between supervisee trust and customer contact person strategic behavior. A more in-depth discussion of the contributions of this paper is developed below.

8.1. Theoretical implications

Our study adds to the social exchange theory literature by demonstrating that trust can effectively shape the strategy process in service organizations where management and marketing are interrelated. While research has demonstrated how trust can lead to enhanced strategic participation among sales representatives (Sonnenberg, 1994), we recognize that proper communication mechanisms must first be in place. We argue that a high degree of communication (both in terms of frequency and the open nature of the communication) enables important exchange norms to develop. These norms provide a guide for proper exchange behaviors (Lambe et al., 2001). Through repeated, open communications the salesperson is likely to become more comfortable participating in these activities. Recently, researchers have begun to question the value of trust suggesting that prior assumptions of the positive consequences of trust are not consistently supported in empirical research. Further, engagement in strategic activities leads to beneficial outcomes for the salespeople if trust is nurtured and

valued, especially when communication and exchange becomes part of the norms that govern the exchange relationship.

This study essentially transforms the view of top down management to a bottom-up approach where information from customer contact personnel can modify the business performance. We demonstrate that trust in the supervisor leads salespeople to participate in four strategic activities that in the literature have previously been reserved for upper and middle managers. It should be noted that information sharing did not have an effect on strategic activity as a main effect; however, the interaction effect of information sharing and trust was statistically significant. Said differently, organizations require a positive exchange relationship to realize the effects of open communication.

Knowledge that members of the organization, whom do not occupy formal positions of authority, also engage in strategic behaviors points to new avenues for the study of strategic renewal. This result bolsters and extends prior customer linkage research (e.g., Bettencourt and Brown, 2003) suggesting that organizations not only send strategic signals to salespeople, but salespeople may participate in setting the strategic agenda by sending strategic signals to their managers as well. We demonstrate that salespeople participate in strategic activities that include both an upward influence on top management decisions and downward influence on peers.

8.2. Managerial implications

The study showed that strategic activity leads to beneficial outcomes for the individual. Despite the general acknowledgment that salespeople (as boundary spanners) are in a position to influence strategic decisions (Day, 1994; Bettencourt and Brown 2003), ours empirically demonstrates the beneficial effect of strategic activity among salespeople on individual sales performance. Sales personnel are service experts. They have a vested interest in ensuring that relevant customer information is not only received by managers, but also utilized to fuel decision-making that is customer-focused. It is not surprising that these service experts perform better when they engage in strategic activities.

Furthermore, the results of this study suggest that salespeople should be selected on criteria that not only best reflect the qualities and characteristics leading to successful sales relationships, but also according to qualities and characteristics deemed important for participating effectively in the strategic activities. To this end, strategic activities hold positive consequences for both the salesperson as an individual and the organization as a whole. Our findings align the employee's and the organization's interests and thereby make a case for the importance and viability of the salesperson's participation in strategy. This result provides an argument for why a salesperson (or any contact employee) would engage in risky behavior (e.g., risk top management criticism). Given the link we found between activity and performance, it might prove beneficial to certain sales-driven organizations to take steps to encourage strategic behavior. This could lead to a host of implications and changes revolving around the motivation, compensation, leadership, and ultimate evaluation of salespeople. More often than not, they are

evaluated and compensated based on sales output. However, our findings suggest that activity-based quotas promoting strategic activity or other incentive structures may be recommended.

8.3. Study limitations and directions for further research

We recommend that future studies not examine supervisee trust in a snapshot. Instead, the continuous process of fostering trust is what will determine whether or not supervisee trust results in participation in strategic activities or individual performance. Past research has long called for longitudinal exchange relations and network structures to better guide future research (Emerson, 1976). In this way, researchers might be able to better capture the dynamic nature of dyadic exchange (Bauer and Green, 1996). Investigating newly formed dyadic exchanges or examining a multitude of exchange relationships over time might provide new evidence of why salespeople engage in strategic behavior.

Further, the possibility for the reversal of hypothesized relationships cannot be ruled out given the cross-sectional nature of the data. For instance, one could argue that participation in strategic activities leads to enhanced trust rather than the reverse (c.f. Floyd and Wooldridge, 2000). Second, the study's focus is limited to the effect of supervisee trust elicited from one type of customer contact employee, the salesperson, on supervisor-rated selling performance. While this is a good first step to establishing the mediating influence of strategic activity in this relationship, future research considering other elements of performance (e.g., service behaviors) and other groups of customer contact employees is warranted. We also note that our sample of salespeople was limited to those operating within a healthcare sector. Our findings may not generalize to other customer contact groups that do not possess the same education or skill level. While considerable variance exists within this group, we cannot completely rule out the possibility that results may differ across other groups. Also, with a 12% response rate caution must be taken when generalizing findings.

Our results suggest several other interesting avenues for future research. This study opens the door to a host of important research questions involving the 'middle-management role' of the salesperson. Research examining additional antecedent factors leading to participation in strategy (e.g., organizational structure, organizational values, personal characteristics) will certainly help to advance knowledge of this topic. Research examining additional consequences of salesperson participation in strategic activity is also appealing. Finally, a greater understanding of the benefits, and possible negatives, associated with an expanded role for the salesperson is necessary.

References

- Aiken Leona S, West Stephen G. Multiple regression: testing and interpreting interactions. Newbury Park, CA: Sage Publications; 1991.
- Anderson Erin, Oliver Richard. Perspectives on behavior-based versus outcome-based salesforce control systems. *J Mark* 1987;51:76–88 [October].
- Armstrong James C, Overton Terry S. Estimating nonresponse bias in mail surveys. *J Mark Res* 1977;14:396–400 [August].

- Atuahene-Gima Kwaku, Li Haiyang. When does trust matter? Antecedents and contingent effects of supervisee trust on performance in selling new products in China and the United States. *J Mark* 2002;66:61–81 [July].
- Babakus E, Cravens DW, Grant K, Ingram TN, La Forge R. Investigating the relationships between sales management controls, sales territory design, salesperson performance, and sales organization effectiveness. *Int J Res Mark* 1996;13:345–63.
- Baron Rueben M, Kenny David A. The moderator–mediator distinction in social psychological research: conceptual, strategic, and statistical considerations. *J Pers Soc Psychol* 1986;51:1173–82.
- Bauer Tayla N, Green Stephen G. Development of leader–member exchange: a longitudinal test. *Acad Manage J* 1996;39(6):1538–67.
- Becerra Manuel, Gupta Anil K. Perceived trustworthiness with the organization: the moderating impact of communication frequency on trustor and trustee effects. *Organ Sci* 2003;14(1):32–45.
- Behrman Douglas N, Perreault William D. A role stress model of the performance and satisfaction of industrial salespersons. *J Mark* 1984;48:9–21 [Fall].
- Bettencourt Lance A, Brown Stephen W. Role stressors and customer-oriented boundary-spanning behaviors in service organizations. *J Acad Mark Sci* 2003;31(4):394–408.
- Blau PL. Exchange and power in social life. New York: John Wiley & Sons; 1964.
- Cannon Joseph P, Homburg Christian. Buyer–supplier relationships and customer firm costs. *J Mark* 2001;65:29–43 [January].
- Dansereau Fred, Graen George, Haga William. A vertical dyad linkage approach to leadership within formal organizations. *Org Beh Hum Relat* 1984;13:46–78.
- Day George S. The capabilities of market-driven organizations. *J Mark* 1994;58:37–52 [October].
- Dirks Kurt T. The effects of interpersonal trust on work group performance. *J Appl Psychol* 1999;84(3):445–55.
- Dillman A. Mail and telephone surveys: the total design method. New York: John Wiley & Sons; 1978.
- Doney Patricia M, Cannon Joseph P. An examination of the nature of trust in buyer–seller relationships. *J Mark* 1997;61:35–51 [April].
- Dutton JE, O'Neill RM, Lawrence KA. Moves that matter: issue selling and organizational change. *Acad Manage J* 2001;44:716–36.
- Eesley Dale T, Longenecker Clinton O. Gateways to intrapreneurship. *Ind Manage* 2006;48(1):18–24.
- Emerson Richard M. Social exchange theory. *Annu Rev Sociology* 1976;2:335–62.
- Floyd Steven W, Wooldridge Bill. Middle management involvement in strategy and its association with strategic type. *Strateg Manag J* 1992;13:153–67.
- Floyd Steven W, Wooldridge Bill. Building strategy from the middle: reconceptualizing strategy process. Thousand Oaks, CA: Sage; 2000.
- Floyd Steven W, Lane Peter J. Strategizing throughout the organization: managing role conflict in strategic renewal. *Acad Manage Rev* 2000;25(1):154–77.
- Gouldner Alvin W. The norm of reciprocity. *Am Sociol Rev* 1960;25(2):161–78.
- Graen G, Uhl-Bien Mary. Development of the leader–member exchange theory of leadership over 25 years: applying a multi-level multi-domain perspective. *Leadership Q* 1995;6(2):219–47.
- Hartline Michael D, Ferrell OC. The management of customer-contact service employees: an empirical investigation. *J Mark* 1996;60(4):52–71.
- Hartline Michael D, Maxham JG, McKee DO. Corridors of influence in the dissemination of customer-oriented strategy to customer contact employees. *Journal of Marketing* 2000;64:35–50.
- Hox Joop J. Multilevel analysis: techniques and applications. Mahwah, New Jersey: Lawrence Erlbaum Associates; 2002.
- Jaworski Bernard J. Toward a theory of marketing control: environmental context, control types, and consequences. *J Mark* 1988;52:23–39.
- Johlke Mark C, Duhan Dale F. Testing competing models of sales force communication. *J Pers Sell Sales Manage* 2001;21(4):265–77.
- Kacmar KM, Witt LA, Zivnuska S, Gully SM. The interactive effect of leader–member exchange and communication frequency in performance ratings. *J Appl Psychol* 2003;88(4):764–72.
- Lambe C Jay, Wittman Michael, Spekman Robert E. Social exchange theory and research on business-to-business relational exchange. *J Bus-to-Bus Mark* 2001;8(3):1–36.
- Leach DJ, Wall TD, Jackson PR. The effect of empowerment on job knowledge: an empirical test involving operators of complex technology. *J Occup Organ Psychol* 2003;76(1):27–52.
- Lester Scott W, Brower Holly H. In the eyes of the beholder: the relationship between subordinates' felt trustworthiness and their work attitudes and behaviors. *J Leadership Organ Stud* 2003;10(2):17–34.
- Marcus Philip M, House James S. Exchange between superiors and subordinates in large organizations. *Adm Sci Q* 1973;18(2):209–22.
- Mayer Roger C, Davis James, Schoorman FD. An integrative model of organizational trust. *Acad Manage Rev* 1995;20(3):709–34.
- Mohr Jakki, Fisher Robert J, Nevin John R. Collaborative communication in interfirm relationships: moderating effects of integration and control. *J Mark* 1996;60:103–15 [July].
- Moorman Christine, Zaltman G, Deshpande Rohit. Relationships between providers and users of market research: the dynamics of trust within and between organizations. *J Mark Res* 1992;29:314–28 [August].
- Morgan Robert M, Hunt Shelby D. The commitment–trust theory of relationship marketing. *J Mark* 1994;58:20–39 [July].
- Nelson Debra L, Quick James C. Social support and newcomer adjustment in organizations: attachment theory at work? *J Organ Behav* 1991;12:543–54.
- Noble Charles H, Sinha Rajiv K, Kumar Ajith. Market orientation and alternative strategic orientations: a longitudinal assessment of performance implications. *J Mark* 2002;66:25–39 [October].
- Paulin Michele, Ferguson Ronald J, Bergeron Jasmin Bergeron. Service climate and organizational commitment: the importance of customer linkages. *J Bus Res* 2006;59(8):906–15.
- Rich Gregory A. The sales manager as a role model: effects on trust, job satisfaction, and performance of salespeople. *J Acad Mark Sci* 1997;25(4):319–28.
- Rousseau Denise M. The 'problem' of psychological contract considered. *J Organ Behav* 1998;19:665–71.
- Schneider B, Bowen DE. Winning the service game. Boston, MA: Harvard Business School Press; 1995.
- Slater Stanley F, Olson Eric M. Strategy type and performance: the influence of sales force management. *Strateg Manag J* 2000;21:813–29 [August].
- Sonnenberg FK. Managing with a conscience: how to improve performance through integrity, trust, and commitment. New York: McGraw-Hill; 1994.
- Sparrowe Robert T, Liden Robert C. Two routes to influence: integrating leader–member exchange and social network perspectives. *Adm Sci Q* 2005;50(4):505–35.
- Sujan Harish, Weitz Barton A, Kumar Nirmalya. Learning orientation, working smart, and effective selling. *J Mark* 1994;58(July):39–52.